



ILLUSTRATION BY RAJ VERMA

Q4 EARNINGS

Looking for a Silver Lining

All eyes are on India Inc's Q4FY25 earnings. There are expectations of profit and revenue growth remaining muted

BY RAHUL OBEROI

► **THE RECENT FALL** in the domestic equity market echoes the slowdown in earnings growth of India Inc. Hence, all eyes are on the forthcoming Q4 financial results, which may set the tone for market sentiment.

In the ongoing financial year, the benchmark NSE Nifty 50 index has dropped by 14% from its 52-week high as of March 17, 2025, while the broader Nifty 500 index has fallen by 17% during the same period.

There are expectations that corporate performance will continue along a similar trajectory, with profit and revenue growth remaining limited. G. Chokkalingam, Founder, Equinomics Research, says, "Nifty earnings may grow in the range of 8%-10% in Q4 on the back of relatively better performance from the banking and telecom companies."

Aggregate profit after tax (PAT) growth of Nifty 50 firms reached a three-quarter high of 9.5% YoY for the quarter ended December 2024, reversing the slowing growth trend of the previous two quarters (0.8% in Q2FY25 and 3.5% YoY in Q1FY25), as per NSE's Corporate Performance Review report.

On the other hand, revenue growth slowed in Q3FY25, hitting a 16-quarter low of 4.5% YoY for the Nifty 50. Despite slower top-line growth, EBITDA (up 10.5% YoY) and PAT improved in Q3FY25,